

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

COSCO SHIPPING LINES CO. LTD.

Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDS GLOBAL SCL ASIA
PACIFIC PTE LTD, AND SAMSUNG ELECTRONICS LOGITECH COMPANY, LIMITED

Third-Party Respondents.

**THIRD-PARTY RESPONDENTS' REPLY TO RESPONDENT'S OPPOSITION TO
THIRD-PARTY RESPONDENTS' MOTION TO DISMISS THE
THIRD-PARTY COMPLAINT**

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PRELIMINARY STATEMENT

Third-Party Respondents Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“SEC”), Samsung SDS Asia Pacific Pte Ltd. s/h/a Samsung SDS Global SCL Asia Pacific Pte Ltd (“SDS”), and Samsung Electronics Logitech Co., Ltd. s/h/a Samsung Electronics Logitech Company, Limited (“Logitech”)(SEC, SDS and Logitech collectively “Third-Party Respondents” or “Samsung Respondents”), having specially appeared by their undersigned attorneys for the limited purpose of filing Samsung Respondents’ Motion to Dismiss the Third-Party Complaint of COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”)(Doc. No. 44), respectfully submits this reply to the opposition to the motion filed by Respondent (Doc. No. 46)(“Opp. Mem.”).

INTRODUCTION

The premise of the Samsung Respondents’ Motion to Dismiss the Third-Party Complaint is straightforward: since the Samsung Respondents are located in the Republic of Korea (“Korea”) and the Republic of Singapore, respectively, the application of the procedures set out in Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the “Hague Convention”) are mandatory and must be used in this matter; a position consistent with the applicable FMC service rule, i.e., 46 C.F.R. § 502.113(c).

Samsung Respondents respectfully submit that COSCO has recognized the validity of Samsung Respondents’ position concerning proper service of process by the simple fact that COSCO has made a representation that it has initiated Hague Convention service on the Samsung

Respondents, although curiously no details were provided by declaration concerning same as to what steps have been taken (Opp. Mem. at 2).¹

Notwithstanding the purported initiation of service under the Hague Convention, COSCO seeks to avoid its mandatory requirements by way of filing a Motion for Alternative Service seeking an order from the Presiding Officer to serve undersigned counsel (Doc. 48).² While Samsung Respondents have submitted their opposition to that motion, which has no merit, suffice it to say it would be the height of irony to allow service on an attorney who has appeared solely to contest the validity of service on the attorney's clients.

COSCO's argument that "shippers" are FMC regulated entities is patently incorrect. In that regard, it is worthwhile to reiterate the statement made in the Motion to Dismiss, namely that COSCO "has improperly sought to bring SEC, SDS and Logitech into this FMC proceeding which was initiated by Samsung Electronics America, Inc. None of SEC, SDS or Logitech is a regulated entity before the FMC, have any business before the FMC, or have sought relief here." (Doc. 44 at 1). Moreover, COSCO misapprehends the key point in Samsung Respondents' position: while FMC regulated entities naturally have expectations of having to respond to complaints filed under the FMC Rules, it is an entirely different situation when a non-regulated entity is the target of a complaint especially when that target is a non-U.S., foreign entity. Under such circumstances, it is all the more important that proper procedures be followed by way of the Hague Convention.

¹ At no point has COSCO's counsel contacted Samsung Respondents' counsel with a proposal that the Samsung Motion be withdrawn on the basis that COSCO has initiated Hague Convention service.

² COSCO has submitted an exchange of email between its counsel and the undersigned attorney. As acknowledged by COSCO's counsel, it was a mere courtesy ("In case you'll be representing [third-party] respondents, I'm attaching a courtesy copy of the verified Third-Party Complaint..."). The email exchange was on May 12, 2025, well before the limited and special appearance of undersigned counsel on June 4, 2025, in this proceeding (Doc. No. 42). Given the facts of the exchange, Samsung Respondents submit these emails have no relevance to the issue of proper service in this proceeding.

As is evident by the submissions pertaining to this Motion, this is an issue that has not been expressly addressed in FMC proceedings. Third-Party Respondents respectfully request that the Presiding Officer use this opportunity to affirm that requirement of applicable U.S. and treaty law by recognizing that the Hague Convention procedures, where applicable (such as here), must be followed especially when the third-party respondent is a non-regulated foreign entity.

ARGUMENT

I. “Shippers” are not FMC Regulated Entities.

COSCO’s categorical argument that “shippers” are regulated by the FMC mis-states the issue presented. Samsung Respondents have clearly stated that “shippers” are not FMC “regulated entities.”³

FMC regulated entities are: common carriers (46 U.S.C. § 40102(7))/ocean common carriers (i.e., a vessel operating common carriers (“VOCC”)) (46 U.S.C. § 40102(18)); ocean transport intermediaries (“OTI”) (46 U.S.C. § 40102(20)), which includes non-vessel operating common carriers (“NVOCC”) (46 U.S.C. § 40102(17)) and ocean freight forwarders (46 U.S.C. § 40102(19)); and marine terminal operators ((46 U.S.C. § 40102(15)).

Regulated entities are subject to detailed requirements as far as their relationship with the FMC. *See, e.g.*, 46 C.F.R. pt 515, §§ 515.1 – 515.91 (“Licensing, Registration, Financial Responsibility Requirements and General Duties for Ocean Transportation Intermediaries”); 46 C.F.R. § 520.3 (Publication responsibilities of common carriers including submission of appropriate forms to the FMC and issuance of an organization number to the common carrier by the FMC); 46 C.F.R. pt 542 (“Common Carrier Prohibitions”); 46 C.F.R. pt 525 (“Marine

³ The submission of this Motion and this Reply by Samsung Respondents is not and cannot be construed as any admission or agreement that the allegation in the Third-Party Complaint that any one or all of the Samsung Respondents are in fact a “shipper” in the context of this proceeding.

Terminal Operator Schedules”). Simply put, there are no similar regulations purporting to regulate the business of “shippers.”

The denomination of the above-specified entities is reflected in both court and FMC decisions. *See, e.g., Logistics Mgmt., Inc. v. One (1) Pyramid Tent Arena*, 86 F.3d 908, 911 n.1 (9th Cir. 1996)(“NVOCCs are regulated by the Federal Maritime Commission (‘FMC’).”)(citation omitted); *Austasia Intermodal Lines, Ltd. v. Federal Maritime Commission*, 580 F.2d 642, 644 (D.C. Cir. 1978)(scope of FMC’s authority to regulate common carriers limited by the statutory definition); *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, FMC Dkt. 1966(I), 2021 WL 794708, *13 (Feb. 19, 2021)(FMC regulated entities are common carriers, marine terminal operators, or an ocean transport intermediary); *DNB Exports LLC v. Barsan Global Lojistiks ve Gumruk Musavirligi A.S.*, FMC Dkt. 11-07, 2014 WL 5316332, *4-5 (Jan. 24, 2014)(same).

The issue before the Presiding Officer is not whether the Samsung Respondents are subject to FMC rules or are “persons” for the purpose of 46 U.S.C. § 41102(a). The issue to be decided is whether the purported service on SDS and Logitech pursuant to 46 C.F.R. § 502.113(b) is permissible (there has been no such service on SEC)⁴ or whether the Hague Convention procedures must be followed. Given that SDS, Logitech and SEC are not FMC regulated entities and are domiciled in jurisdictions which are parties (like the United States) to the Hague Convention, principles of comity, fairness, and due process compel that the only proper service is by way of Hague Convention procedures.

⁴ As set out in the Samsung Respondents’ Motion, Logitech and SDS received Federal Express packages from the Secretary (Doc. No. 44 at 2). However, by letter dated May 29, 2025, the Secretary reported that the second attempt to serve SEC in Korea by mail was not successful (Doc. No. 38).

II. The Hague Convention Applies to this Proceeding.

When service has been challenged, the burden of proof to establish proper service is on the plaintiff, i.e., COSCO as Third-Party Complainant. *See Williams v. Bellagio Hotel & Casino*, 728 F. Supp. 3d 1166, 1169 & n.8 (D. Nev. 2024)(“When service is challenged the plaintiff ‘bears the burden of establishing that service was valid under Rule 4.’”)(quoting *Brockmeyer v. May*, 383 F.3d 798, 801 (9th Cir. 2004)); *Just Enterprises, Inc. v. O’Malley & Langan, P.C.*, 560 F. Supp. 2d 345, 351 (M.D. Pa. 2008)(“ The party that asserts service is valid has the burden of proof.”)(citation omitted).

COSCO argues that citations to U.S. federal district court decisions (Opp. Mem. at 4-5) are inapposite as such decisions did not involve federal agency proceedings. In support of the (unsupported) notion that the relevant law recognized and enforced by the U.S. district courts does not apply here, COSCO cites a case involving the Environmental Protection Agency, *In re Taotao USA, Inc., et al.*, Environmental Protection Agency (“EPA”), Docket No. CAA-HQ-2015-8065, Jun. 21, 2016 (Biro, Ch. ALJ)(unpublished)(“ALJ Decision”),⁵ which was subsequently affirmed in *Taotao USA, Inc. v. U.S. Environmental Protection Agency*, Civ. Action No. 20-cv-915(BAH), 2022 WL 969651 (D.D.C. Mar. 31, 2022), *aff’d*, No. 22-5225, 2023 WL 1484707 (D.C. Cir. Feb. 1, 2023). Despite COSCO’s assertion, *Taotao* is not relevant to Samsung Respondents’ motion, nor does it provide any legitimate support to COSCO’s opposition.

The EPA administrative enforcement action was brought against three entities, two located in China and one in the U.S. ALJ Decision at 1. Under the EPA rules: “Where respondent is a domestic or foreign corporation...complainant shall serve an officer, partner, a managing or general partner, or any other person authorized by appointment or by Federal or State law to

⁵ A copy of the unpublished decision is attached hereto as Appendix A.

receive service of process.” *Id.* at 2. As noted by the EPA Chief ALJ, both Chinese respondents had “authorized by appointment” the U.S. entity to receive service of process on their behalf, and “As such, [the U.S. entity] was clearly and explicitly authorized by appointment to receive service of process on behalf of [the Chinese entities]...” *Id.* at 3.

As noted by the District Court:

[T]he leading case on this issue is *Volkswagenwerk Aktiengesellschaft v. Schlunk*, 486 U.S. 694 (1988). In *Schlunk*, the Supreme Court addressed when the Hague Service Convention would govern the method of service that must be used to serve foreign defendants. The Court concluded that the Convention does not prescribe a standard for determining when service of process is legally sufficient and thus ‘[i]f the internal law of the forum state defines the applicable method of serving process as requiring the transmittal of documents abroad,’ only then would the rules of the Hague Service Convention apply to service of process. *Id.* at 700.

Taotao, 2022 WL 969651 at *15. The EPA Rules did not require the “transmittal of documents abroad” but instead allowed the EPA to serve the duly appointed U.S.-based agent of the foreign-based entities and thus the Hague Convention requirements were not applicable. *Id.*

The FMC Rule for the service of process by first-class or express mail stands in stark contrast to the EPA Rules in *Taotao*. The typical means of service set out in 46 C.F.R. § 502.113(b) is by first class mail or express mail service, and as done (SDS and Logitech) and attempted (SEC) here, the mailing necessarily required “the transmittal of documents abroad.” As such, and consistent with *Taotao* and *Schlunk*, the Hague Convention applies to the service of FMC complaints on entities located in foreign jurisdictions which is consistent with the mandatory application of the Hague Convention as held by the U.S. Supreme Court. *Schlunk*, 486 U.S. at 699.

Further, the applicable FMC Rule is not incompatible with the service procedures of the Hague Convention, given the terms of 46 C.F.R. § 502.113(c):

Alternative service by Complainant. The Complainant may serve the Complaint at any time after it has been filed with the Commission. If Complainant serves the complaint, an affidavit setting forth the method, time and place of service must be filed within five days following service.

Here, the proper method of service is that required by the Hague Convention which can be accomplished by a Complainant with no burden on the Secretary.

Simply put, COSCO has not met its burden of proof concerning the validity of service in this matter.⁶

III. Alternative Service is neither Permissible nor Appropriate in this Proceeding.

Contemporaneously with filing its Opposition to the motion herein, COSCO filed a Motion for Alternative Service (Doc. No. 48). Similarly, contemporaneously with filing this reply submission, Samsung Respondents have filed their opposition. As such, the Presiding Officer is respectfully referred to that filing for a detailed explanation why alternative service is neither justified nor appropriate in this matter.

IV. The Presiding Officer has Discretion to Dismiss the Third-Party Complaint.

The Presiding Officer has the authority to dismiss a complaint where it has not been served thirty days after filing. 46 C.F.R. § 502.113(d). As the Complaint was filed on May 13, 2025, and proper service under the Hague Convention has not been made, this rule is applicable.

However, in this matter, COSCO has made an unverified representation that it has commenced the process to cure the improper service by its initiation of the Hague Convention procedures (Opp. Mem. at 2 and 8). Under these circumstances, it also would be within the

⁶ COSCO asserts that Third-Party Respondents must “demonstrate” that the authorities in Korea and Singapore would treat a Third-Party Complaint filed in an FMC administrative proceeding as a service under their respective Hague Convention procedures (Opp. Mem. at 5 n.2). This is not Third-Party Respondents’ burden. Moreover, the citation submitted by COSCO was to a matter involving the Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters, Mar. 18, 1970, 23 U.S.T. 2555, T.I.A.S. No. 7444, an entirely different international convention than the Hague Convention.

Presiding Officer's discretion to recognize that process by the issuance of an appropriate order requiring COSCO to periodically report the progress of the service of process in Korea and Singapore under the Hague Convention.

Ultimately, SEC respectfully submits that the most important aspect of this case is that the application of the Hague Convention be recognized by the Presiding Officer and its terms enforced.

CONCLUSION

Given the failure to serve process in accordance with the Hague Convention, the Third-Party Complaint should be dismissed or, in the alternative, the Presiding Officer should confirm that as the Hague Convention applies, COSCO's initiation of the procedures under the Convention must continue.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(5), 46 C.F.R. §§ 502.69 and 502.70, Third-Party Respondents SEC, SDS and Logitech respectfully move for an Order:

1. Dismissing with prejudice COSCO's Third-Party Complaint in its entirety;
2. Or, in the alternative, that the application of the Hague Convention is mandatory in this matter and that COSCO must serve Third-Party Respondents under the Hague Convention procedures;
3. Granting SEC, SDS and Logitech all such other and further relief as may be just and proper.

Dated: June 30, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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